Project 1 Edition A - Coherent Corp.

Valuation date: September 1, 2026
Company: Coherent Corp.
Ticker: COHR (NYSE)
Decision user: The fund's investment committee
Decision: Whether the fund should initiate an investment position in Coherent Corp.

Initial thesis: Watch / defer

Do not initiate a position yet. Coherent reported strong revenue growth, a substantial earnings recovery, and particularly strong demand from AI-datacenter customers. However, the current evidence does not establish that the shares are attractively valued as of the valuation date. Fiscal 2026 operating cash flow also fell sharply while capital expenditures and inventory increased substantially. The company should remain on the watchlist until its market valuation, normalized cash-generation capacity, competitive position, and customer concentration are researched.

This is an initial research conclusion, not a final investment recommendation.

Known evidence and sources

Unless noted otherwise, financial amounts below come from Coherent's Form 10-K for the fiscal year ended June 30, 2026. The supplied PDF was incorrectly named as an Intuitive Surgical filing, but the filing itself identifies Coherent Corp. as the registrant.

- Coherent generated fiscal 2026 revenue of **$7.118 billion**, an increase of approximately 23% from $5.810 billion in fiscal 2025. Source: Consolidated Statements of Earnings, supplied 10-K PDF p. 98.
- Datacenter & Communications revenue increased **40% to $5.275 billion**, while segment profit increased 47% to $1.330 billion. Management primarily attributed this growth to AI-datacenter demand, especially transceivers, as well as communications volumes. Source: segment discussion, PDF p. 78.
- Gross margin was approximately **37.5%**, and calculated operating margin was approximately **12.6%**. Sources: Consolidated Statements of Earnings, PDF p. 98; calculations using reported figures.
- Net earnings attributable to Coherent were **$805 million**, and diluted EPS was **$4.12**. Sources: Consolidated Statements of Earnings, PDF p. 98; EPS reconciliation, pp. 151-152.
- Cash and cash equivalents were **$1.162 billion**, short-term investments were **$825 million**, and total debt was **$3.222 billion** at June 30, 2026. Sources: Consolidated Balance Sheets, PDF p. 96; debt footnote, p. 122.
- The current ratio was approximately **2.43x**, indicating adequate reported short-term asset coverage of current liabilities. Source: calculation from the balance sheet on PDF p. 96.
- Operating cash flow was only **$80 million**, while additions to property, plant, and equipment were **$1.103 billion**. Simple free cash flow was therefore approximately **negative $1.023 billion**. Source: liquidity discussion, PDF p. 83; calculation using reported figures.
- Inventory increased from **$1.438 billion to $2.581 billion**. Source: Consolidated Balance Sheets, PDF p. 96.
- Coherent employed approximately **51,478 people** at June 30, 2026. Source: business discussion, PDF p. 11.
- The filing reports two customers that each generated more than 10% of fiscal 2026 revenue, but the filing excerpt reviewed does not identify them by name. Source: business discussion, PDF p. 19.

Primary filing source: Coherent Corp. FY2026 Form 10-K, accession number 0000820318-26-000020.

Local source analysis: `IntuitiveSurgery_10-K_filing_data_analysis_9.1.2026.md`.

Synthetic enterprise-to-equity bridge check

Equity value represents the market value attributable to common shareholders. Enterprise value approximates the value of the operating business attributable to all capital providers. It is not simply the amount paid to shareholders in an acquisition.

The bridge is:

> Enterprise value = Equity value + Debt + Preferred stock + Noncontrolling interests - Cash and cash-like investments

Using Coherent's June 30, 2026 balance-sheet amounts:

> Enterprise value = Equity value + $3,222.224m debt + $0 preferred stock + $334.705m noncontrolling interests - $1,162.018m cash - $825.000m short-term investments

> **Enterprise value = Equity value + $1,569.911 million**

The reverse bridge is:

> **Equity value = Enterprise value - $1,569.911 million**

The arithmetic checks. A dated market capitalization or enterprise value is still required to calculate the other absolute value. This treatment assumes the full $825 million of short-term investments is excess cash-like value and that no additional debt-like or non-operating adjustments are required.

Consequential assumptions

- The relevant decision is whether to initiate a position for the fund, not merely whether Coherent passes a preliminary personal-investing screen.
- September 1, 2026 is the valuation date, but the initial evidence is primarily based on financial information through June 30, 2026.
- Short-term investments are treated as cash-like in the enterprise-value bridge.
- Reported fiscal 2026 earnings are not automatically assumed to represent normalized earnings because they include a $124 million gain on the sale of a business and other potentially nonrecurring items.
- Negative fiscal 2026 free cash flow may reflect growth investment rather than permanent deterioration, but this must be demonstrated rather than assumed.
- AI-datacenter demand can remain an important growth driver, but recent growth is not assumed to continue at 40% indefinitely.
- Small- and medium-sized companies may offer greater growth potential, but smaller size does not by itself mean a company is inexpensive or lower risk.
- No P/E, PEG, price-to-sales, or enterprise-value multiple is treated as known until dated market data and a defensible growth estimate are obtained.

Important unknowns

- COHR's share price, market capitalization, and enterprise value on September 1, 2026.
- Valuation multiples relative to appropriate photonics, optical-networking, semiconductor-component, and industrial-laser peers.
- A defensible normalized EPS and free-cash-flow estimate after adjusting for divestitures, financing items, and nonrecurring gains and charges.
- The expected return and timing of the company's large capacity investments.
- Whether the inventory increase reflects well-supported customer demand, deliberate capacity preparation, supply-chain protection, or potential excess stock.
- The durability of AI-datacenter demand, Coherent's market share, product differentiation, pricing power, and exposure to technology substitution.
- The identities, economics, and durability of the customers responsible for major revenue concentration.
- Management's medium-term capital-expenditure, working-capital, margin, and debt-reduction plans.
- Verified insider open-market purchases, excluding grants, option exercises, gifts, and other non-discretionary transactions.

- Key legal, geopolitical, export-control, supply-chain, currency, and customer-concentration risks.
- Whether prospective returns are attractive relative to the S&P 500, bonds, and comparable companies after considering downside risk.

Research plan

1. Obtain COHR's closing share price and market capitalization on September 1, 2026, calculate enterprise value using the bridge above, and document the timestamp and source.
2. Normalize fiscal 2026 earnings, EBIT, EBITDA, and free cash flow by separating continuing operating performance from divestiture gains, restructuring, impairment, and other unusual items.
3. Build a three- to five-year historical analysis of revenue, margins, EPS, operating cash flow, capital expenditures, free cash flow, inventory, debt, and returns on invested capital.
4. Select a transparent peer group and compare P/E, PEG, EV/revenue, EV/EBITDA, free-cash-flow yield, growth, margins, leverage, and capital intensity using consistent dates and definitions.
5. Review earnings calls, investor materials, and segment disclosures to test AI-datacenter demand, pricing, customer concentration, capacity commitments, inventory quality, and expected investment returns.
6. Review SEC Forms 4 for verified insider open-market purchases and distinguish them from compensation-related transactions.
7. Construct base, upside, and downside cases using explicit revenue-growth, margin, capital-expenditure, working-capital, and valuation assumptions.
8. Estimate expected return and downside under each case, compare the result with relevant alternatives, and return to the investment committee with an initiate, continue-to-watch, or reject recommendation.

Partner-generated falsification question

Partner question: Why did you include a 15% weight for company size in your company screening?

Nicolas's answer: I emphasize small- and medium-sized companies because they may have greater potential to grow and increase in value. They may also trade at lower valuations, although company size alone does not guarantee that a stock is inexpensive.

The partner generated the question only. Nicolas supplied the answer.

Project 1 — Edition B research evolution

REVIEW DRAFT. Final preparation date: October 19, 2026. Final valuation and information cutoff: September 15, 2026. Intended user: buy-side committee with no current COHR position.

Baseline status and unchanged preservation

Nicolas believes Project_1_Edition_A_Coherent_2026-09-01.md was the lab checkout submission, but the exact submitted file and separate designated checkpoint receipt are not verified. He is uncertain about AI involvement in that Markdown. The original Markdown is preserved unchanged; its PDF conversion is formatting performed during final preparation, not a historical receipt or an AI-free authorship attestation. The separate Project 1 Edition A.pdf is preserved but is not substituted as the official baseline.

The final Research-Evolution.pdf will present the faithful conversion of the **presumed** submitted Markdown first, followed by a dated qualification/addendum and this Edition B. The comparison below is to that preserved document; it does not certify a qualifying Edition A checkpoint. The full statement is in the single validation/AI-use record.

Current position and consequential check

The proposed position remains **watch/defer** at the saved September 15 price of $271.17. The integrated, signed-FCFF DCF produces a passing-case range of **$45–$154/share**, base near $76, subject to forecast, terminal and funding conditions. The conclusion is proposed for Nicolas's final review. The original operating growth, margin and capex paths have been explicitly reaffirmed by him.

A consequential check independently derives FCFF both from operating NOPAT and from CFO after removing financing tax effects. The two agree in all five forecast years; negative cash flows remain in value. The published instructor training case also reconciles in all twelve outputs. This establishes arithmetic/definition consistency, not proof that forecasts are true.

Item	Preserved presumed Edition A	Edition B proposal	Primary driver	Evidence / test
Thesis / action	Watch/defer; attractive valuation not established	No material action change proposed; maintain watch with quantified conditional range	Own judgment + research + AI-assisted implementation	DCF causal cases, reverse terminal expectation, peer cross-checks; final student review pending
Data / date	September 1 valuation date; FY2026 filing; market value unresolved	September 15 valuation and cutoff selected by Nicolas; financial/share dates disclosed	Own decision + source checks	Historical price research, filing statement/cover locators, dated Treasury and ERP
Model design	Planned normalization, cases and enterprise-equity bridge	Linked five-year statements feed signed FCFF DCF; minority, finance-lease and pension claims included; common shares explicitly distinguished from EPS shares	Course instruction + own choices + AI-assisted development	Articulation, historical cash reconciliation, independent FCFF identity, bridge and training-case tests
Assumptions	Growth durability, investment returns and normalization uncertain	Student-supported operating paths; proposed WACC 11.8% and explicit terminal reinvestment transition; bounded sensitivities	Own judgment + lab discussion + AI-assisted challenge	Assumption-challenge record; full/half range analysis; terminal-return stress
Risk / uncertainty	Inventory, capex, customer concentration and cash conversion	Those risks persist; terminal dominance, funding-policy dependence, debt-source inconsistency, baseline and AI-boundary provenance are now explicit	Own analysis + source checks + AI-assisted audit	Filing debt narrative/table comparison, failed funding stress, unchanged historical records

Checked AI contribution

The older AI-assisted lab valuation omitted negative FCFE by an explicitly disclosed lab convention; it is unsuitable for this project's required FCFF architecture. The final integration corrects the contribution by retaining signed FCFF and discounting it at WACC, with a complete common-equity bridge. An independent operating-versus-CFO identity, official training answers, and deliberate funding failure tests check the implementation. Disposition in development: **corrected for Project 1**, with student review of the final engine still required. This does not retroactively invalidate the lab's stated exercise convention.

For the historical changed-input exercise, Nicolas reports an unaided original prediction and AI-off test, followed by an AI plausibility check that did not change his prediction. The original plan/results commits corroborate sequencing; separate summaries disclose AI assistance with a sensitivity extension. The complete provenance qualification stays in the single validation record rather than being replaced by an invented clean history.

What changed from Edition A to Edition B, and why?

The proposed action remains watch/defer, but the justification moves from unresolved valuation to an explicit range and testable cash-conversion conditions. The operating assumptions now flow through linked statements into signed FCFF, and the equity bridge, terminal transition and model failure conditions are visible. Changes reflect course requirements, Nicolas's selected operating thesis, peer discussion and AI-assisted implementation checked against sources and independent calculations. No change is claimed merely to demonstrate evolution; the original checkpoint/authorship uncertainty remains disclosed.